

# TOPIC 3

## FRANCHISES AND BUYOUTS



# TOPIC OUTCOMES

- Define *franchise*, and become familiar with franchise terminology.
- Understand the pros and cons of franchising and the structure of the industry.
- Describe the process for evaluating a franchise opportunity.
- List four reasons for buying an existing business, and describe the process for evaluating an existing business.

# What Is a Franchise?

- Franchising

- A business model involving a business owner who licenses trademarks and methods to an independent entrepreneur.

- Franchisor

- Party in franchise contract that specifies methods to be followed and terms to be met by the other party.

- Franchisee

- An entrepreneur whose power is limited by a contractual agreement with a franchising organization.

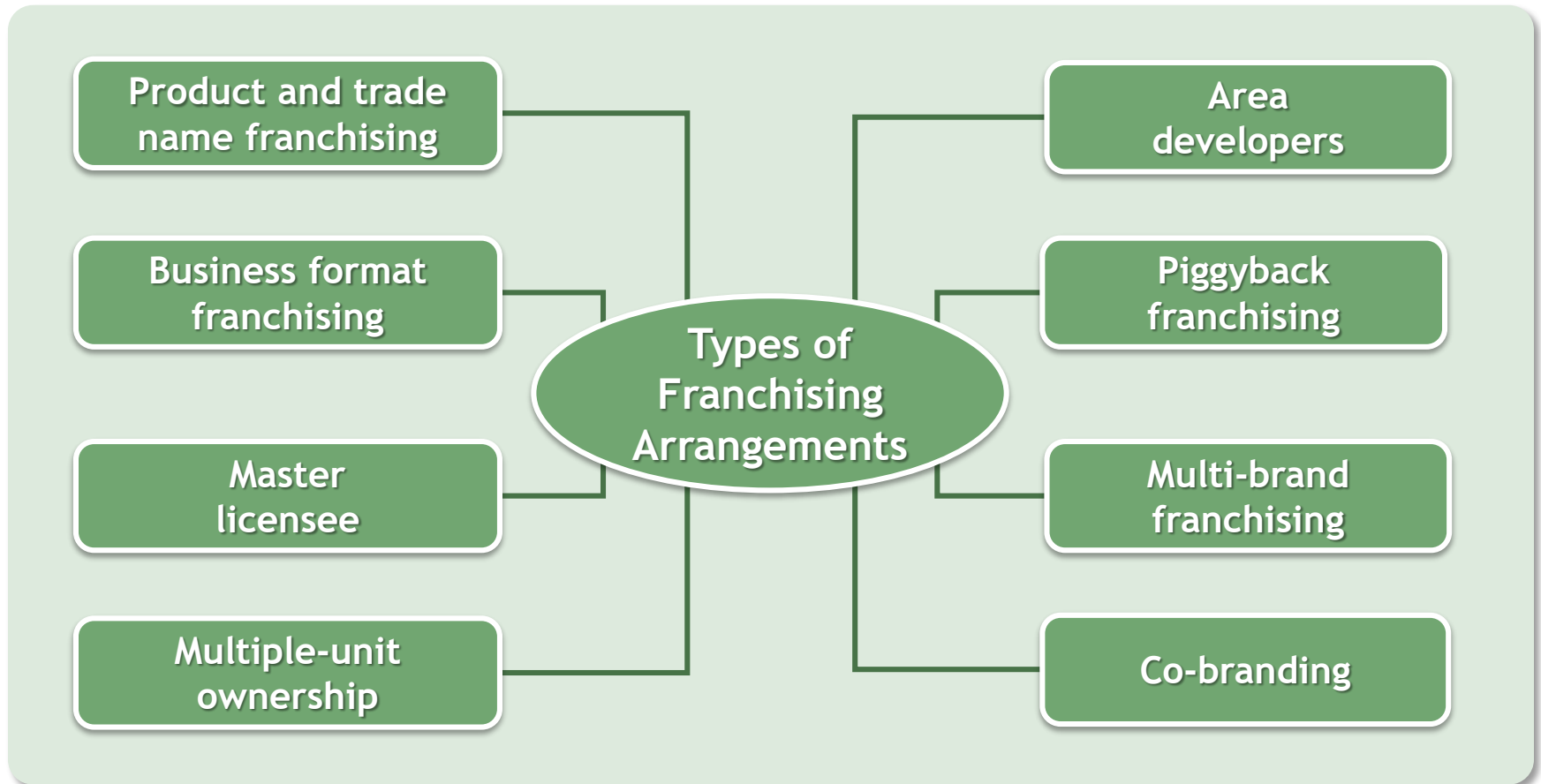
- Franchise Contract

- The legal agreement between franchisor and franchisee

- Franchise

- The privileges conveyed in the franchise contract

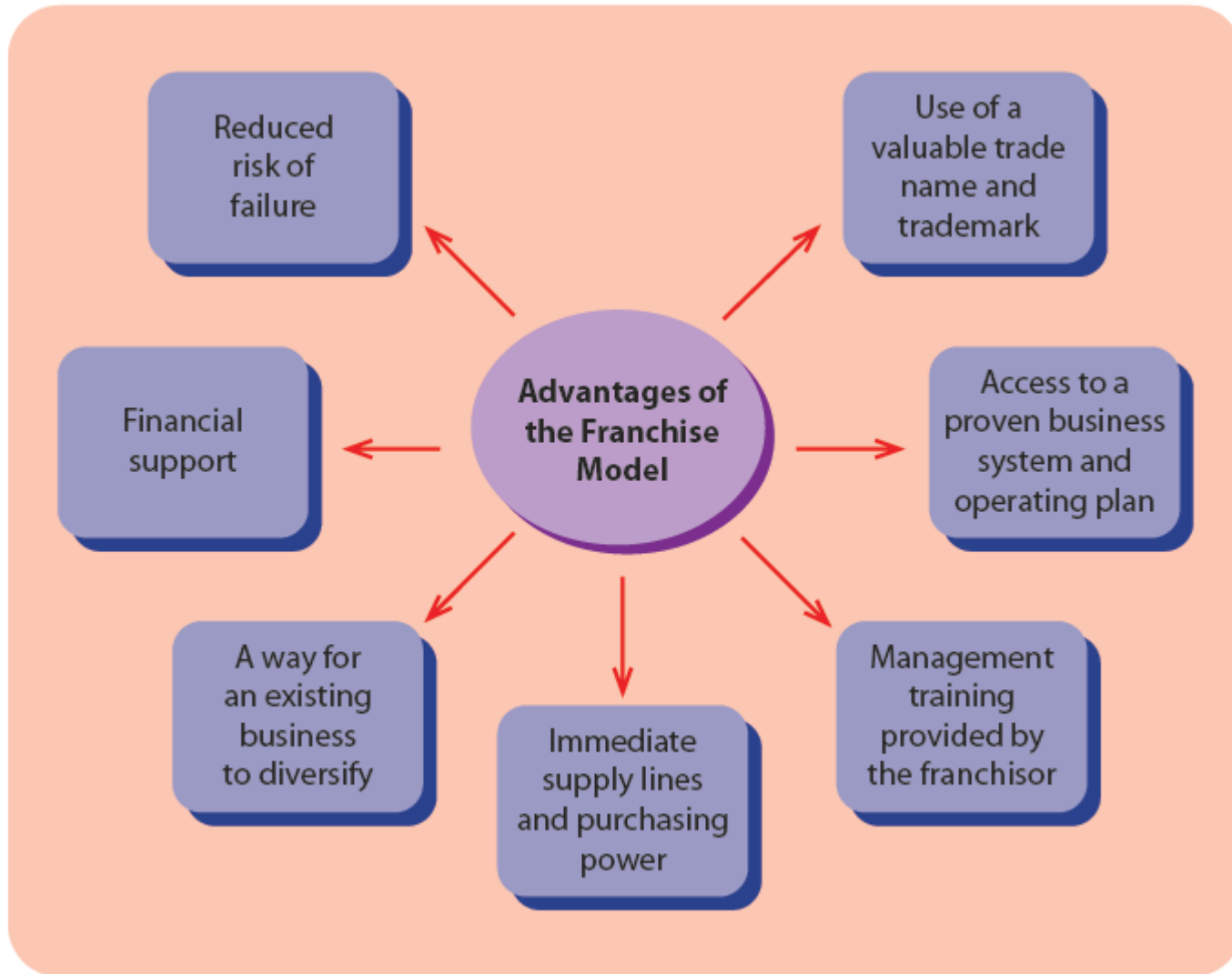
# Franchising Options





## 4.1

## Advantages of the Franchise Model



# The Pros and Cons of Franchising

- Probability of Success

- Proven line of business
- Pre-qualification of franchisee
- Training Support
  - ❖ Franchisor-provided
- Financial assistance
  - ❖ Franchisor assistance
- Operating benefits
  - ❖ Franchisor-aided

- Franchise Costs

- Initial franchise fee
- Investment costs
- Royalty payments
- Advertising costs
- Restrictions on business operations
- Loss of independence
- Lack of franchisor support

# Concerns About Franchising

1. Misleading or exaggerated earnings claims by franchisors
2. Opportunity behavior by which the franchisor becomes a competitive threat to franchisees
3. Restrictions on franchisees who desire to liquidate their holdings in favor of alternative investment opportunities
4. Conflicts of interest, such as when a franchisor forces franchisees to be captive outlets for other suppliers owned by the franchisor
5. **Churning:** terminating a successful franchise operation in order to resell it and gain additional franchise fees
6. **Encroachment:** locating a new outlet or point of distribution too close to an existing franchisee, causing a material loss of sales
7. Imposing noncompeting clauses on franchisees
8. One-sided contracts devised by franchisors
9. The imposition of new restrictions as a requirement of contract renewal
10. Franchisor intimidation of franchisees who attempt to form franchisee associations, seek alternative sources for products, or make other efforts to create a more level playing field

## Profile from International Franchise Association (2012)

### Glass Doctor

#### Offering Financial Assistance

In-house financing is available for the initial franchise fee.

#### Special Incentives

VetFran Participant

International Opportunity Franchise Resale Opportunity

Home Based Franchise

#### VetFran Incentive

25% of the minimum initial franchise fee for qualified honorably discharged veterans.

Business Established: 1962

Franchising Since: 1977

Franchised Units: 191

Company Owned Units: 0

Start-up Cost \$20,000 to \$125,000

Total Investment: \$107,000 to \$260,000

### Company Details

#### Description

Established in 1962, Glass Doctor is one of the nation's largest providers of glass services for home, auto and business. Services include repair and replacement of windshields, windows, entry door glass, patio doors, shower enclosures, mirrors, tabletops and storefronts. The company's service vehicles carry complete inventory and supplies. Glass Doctor is part of The Dwyer Group.

#### Training

Upon becoming a Glass Doctor franchisee, you will attend a proprietary training course where our knowledgeable corporate team assists you in putting financial, marketing, management and customer service strategies to work for you. Two weeks of initial training are required, including seminars at the world headquarters, classroom sessions at the Glass Doctor University training center, hands-on workshops at the Glass Doctor University shop (the only one of its kind in the industry), and job shadowing.

#### Qualifications

Strong Work Ethic, Financially Qualified, High Achievement Drive, Honesty & Integrity, Strong Image/Self-Esteem, Team Player, Willingness To Learn & Apply Proven Successful Business Systems.

# Franchisor Controls on Franchisees

- Limiting sales territories
- Requiring site approval
- Imposing requirements on outlet appearance
- Limiting goods and services offered for sale
- Limiting advertising and hours of operation



# Evaluating Franchise Opportunities

- Selecting a Franchise
  - Personal observation
  - Advertisements
- Investigating the Potential Franchise
  - Information sources
    - ❖ Independent, third-party sources
      - Federal Trade Commission
      - Internet
      - Franchise consultants
    - ❖ Franchisors themselves
      - Disclosure documents
    - ❖ Existing and previous franchisees



## 4.3

*Entrepreneur's* Top 10 Franchises for 2012

| Name/Rank          | Startup Costs (2009) |
|--------------------|----------------------|
| 1. Hampton Hotels  | \$3.7M–13.52M        |
| 2. Subway          | \$85.2K–260.35K      |
| 3. 7-Eleven Inc.   | \$30.8K–1.64M        |
| 4. Servpro         | \$133.05K–181.45K    |
| 5. Days Inn        | \$202.17K–6.76M      |
| 6. McDonald's      | \$1M–2.16M           |
| 7. Denny's Inc.    | \$1.18M–2.4M         |
| 8. H&R Block       | \$35.51K–136.2K      |
| 9. Pizza Hut Inc.  | \$295K–2.15M         |
| 10. Dunkin' Donuts | \$368.9K–1.74M       |

# Franchise Disclosure Statements

- Franchise Rule

- A rule issued by the Federal Trade Commission that prescribes that the franchisor must disclose certain information to prospective franchisees.

- Franchise Disclosure Document (FDD)

- Is a detailed statement of the franchisor's finances, experience, size, and involvement in litigation.
- Must inform potential franchisees of any restrictions, costs, and provisions for renewal, termination, or sale of the franchise.

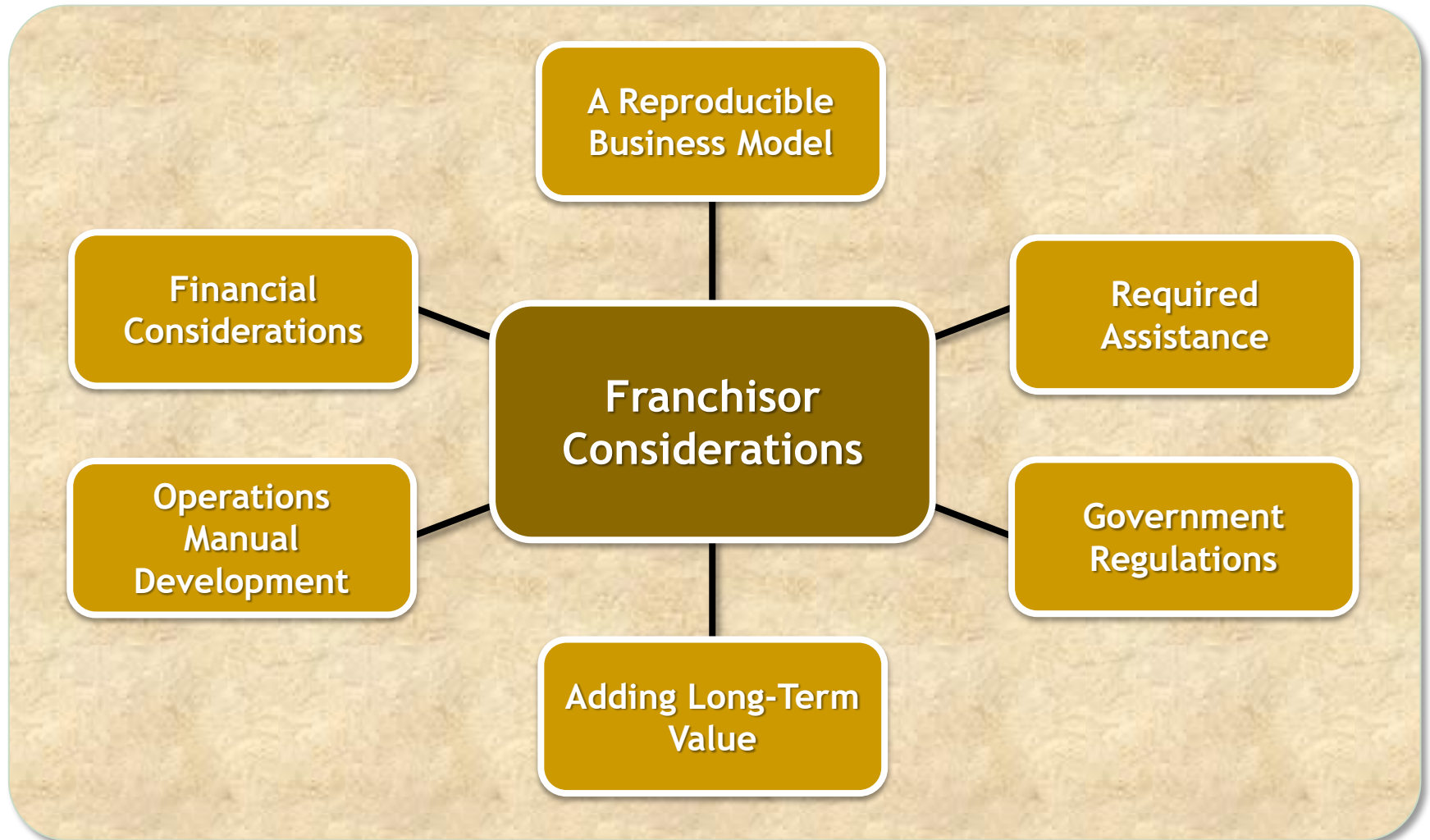


# Legal Issues in Franchising

- The Franchising Contract
  - Signed with legal counsel present
  - Contains a termination and transfer provision
  - Contains statement of rights to renew contract



# Becoming a Franchisor



# Becoming a Franchisor

- Benefits

- Reduction of capital requirements
- Increase in management motivation
- Speed of expansion

- Drawbacks

- Reduction in control
- Sharing of profits
- Increase in operational support costs

# Buying an Existing Business

Reduction of  
uncertainties  
of startup

Acquisition of  
ongoing operations and  
customer relationships

A bargain  
purchase price  
for the business

A quick start in  
the business



# Finding a Business to Buy

1. Identify your interests
2. Consider your talents
3. List conditions for your business
4. Quantify how much you can afford to invest



# Pros and Cons of Buying an Existing Business

- Pros

- High chance of success
- Less planning
- Existing customers/suppliers
- Necessary equipment
- Bargain price
- Experienced employees
- Existing business records

- Cons

- Existing problems
- Poor quality of current employees
- Poor business image
- Modernization required
- Purchase price based on inaccurate data
- Poor business location

# Investigating and Evaluating Available Businesses

- Due Diligence

- The exercise of reasonable care in the evaluation of a business opportunity.

- Business Brokers

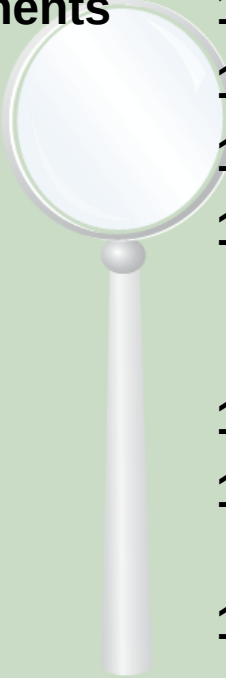
- Specialized brokers that bring together buyers and sellers

- Relying on Professionals

- Accountants
- Attorneys
- Other experienced business owners



**4.4****Due Diligence for Purchasing a Business**

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- 1. Contracts and lease agreements**
  - 2. Financial statements**
  - 3. Tax returns**
  - 4. Real and personal property documents**
  - 5. Bank accounts**
  - 6. Customer lists**
  - 7. Sales records**
  - 8. Supplier/purchaser lists**
  - 9. Contracts**
  - 10. Advertisement materials**
  - 11. Inventory receipts/lists**
  - 12. Organization charts**
  - 13. Payroll, benefits, and employee pension/profit-sharing information**
  - 14. Employee roster**
  - 15. Certification by federal, state or local agencies**
  - 16. List of owners**



# Finding Out Why a Business Is For Sale

- Possible Owner's Reasons for Selling
  - Retirement due to burnout, old age, or illness
  - Desire to relocate in a different section of the country
  - Decision to accept a position with another company
  - Unprofitability of the business
  - Loss of an exclusive sales franchise
  - Maturing of the industry and lack of growth potential
- *Beware of sellers who may have “cooked the books” to make the business more attractive.*

# Examining the Financial Data

- Sign nondisclosure agreement to not reveal confidential information about the business.
- Review financial statements and tax returns for the past five years.
- Recognize that financial data can be misleading.
  - Assets overvalued
  - Expenses overstated/understated
  - Income underreported
  - Unrecorded debts
- Adjust asset valuations to reflect the true state of the business (fair market value).

# Valuing the Business

- **Asset-Based Valuation**
  - Estimates the value of the firm's assets; does not reflect the value of the firm as a going concern.
- **Market-Comparable Valuation**
  - Considers the sale prices of comparable firms; difficulty is in finding comparable firms.
- **Cash-Flow-based Valuation**
  - Compares the expected and required rates of return on the amount of capital to be invested in the business.

# Nonquantitative Factors in Valuing a Business

- Competition
- Market
- Future community development
- Legal commitments
- Union contracts
- Buildings
- Product prices



# Negotiating and Closing the Deal

- Terms of Purchase
  - Assets purchase or total entity
  - Indemnification clause
  - Payment in full or partial payments over time
- Closing the Sale
  - Best handled by a third party
    - ❖ Bill of sale
    - ❖ Tax certifications
    - ❖ Payment-to-seller agreements and guarantees

